

Guide Cut Worse Than Expected; Lower (or No) Bar a Potential Silver Lining?

QDEL continues to surprise, with a 2Q beat (revenues +2%, margins +300 bps) overshadowed by a larger-than-expected guidance cut (revenues -\$165M, EBITDA -\$73M). While the revised '26 outlook is admittedly more prudent (China and respiratory -DD% in 2H, FCF *withdrawn*), more concern than hope was raised on the mid-term outlook. FCF is moving the wrong direction (and likely worse w/ restructuring), as is China with the path for either into '27 unclear. Reit. Hold.

2Q recap. Revenues of \$631M beat consensus (\$618M), with +2% cc growth coming in *above* (Street flat). *By segment:* Labs grew +2% cc (+2% Street), Immunoheme +1% cc (+3% Street) and POC +16% cc (+2% Street), aided by Triage (+10%) and other cardiac (>40% growth). Respiratory (+2.5%) came in *better than expectations* (-2%), while non-respiratory grew +1.8%. Down the P&L, adj. EBITDA margin of 20.5% was +300 bps above consensus (17.5%), while \$0.13 EPS also beat (Stree: -\$0.05). FCF was *negative* \$136M (JEFe -\$55M).

Guidance slashed. While the guidance cut was likely not a surprise to investors (as noted in our downgrade [here](#)), the magnitude certainly was. Revenues are now expected to be \$2.52-2.6B (-\$165M cut) with an EBITDA margin of 21-22% (vs. 23% prior). Importantly, management now assumes that China steps down from 1H levels (<\$131M), implying revenues down >25%, a much different outlook from the prior guide (e.g. growth), while for respiratory, the expectation is that 1H softness (-31%) continues into 2H. **For 3Q**, the top line should look similar to 2Q (vs. \$715M Street), implying 4Q revenues of roughly of \$680M (consensus \$751M). Down the P&L, QDEL expects 3Q margins >20% and 4Q <25%.

China headwinds in full swing. The preemptive de-stocking headwind that percolated in 1Q is showing no signs of abatement, with *2Q down -23% y/y*, as the market continues to react adversely to looming healthcare policy changes and pricing dynamics, impacting customer purchasing patterns. While not surprising that trends got worse before getting better (as it often does with VBP/DRG), the revised outlook (e.g. down >25% in 2H) is a welcomed reprieve given the uncertainty at hand. The question that remains unanswered, however, is how actual finalization of the NHTSA policy will affect the business going forward - recall prior, management sized the impact as a 30-40% price cut to 50% of the China business. The clearest message from our callback with management is how *unclear* this actually all plays out into '27 and beyond.

Strike 1, strike 2, strike 3... FCF is out. After multiple consecutive FCF misses, management (new CFO) took the prudent path of withdrawing formal FCF guidance for 2026. While the bar is gone, the floor is not - and we struggle to find any valuation that makes sense when FCF continues to deteriorate, at 4.3x net leverage, with limited signs of a tunaround. The absence of a **PoC divestiture** and likely one-time cash outlays tied to necessary restructuring actions complicate the outlook. Reiterate Hold.

FY (Dec)	2025A	2026E	2027E
Rev. (MM)	2,730.2	2,560.5	2,598.5
EBITDA (MM)	598.8	552.6	575.6
Cons. EBITDA	597.0	615.8	650.7
EPS	2.12	0.81	1.48

TARGET ESTIMATE CHANGE					
RATING	HOLD				
PRICE	\$12.55*				
PRICE TARGET % TO PT	↓\$12.00 (\$14.00) -4%				
52W HIGH-LOW	\$35.58 - \$9.92				
FLOAT (%) ADV MM (USD)	98.2% 18.64				
MARKET CAP	\$857.2M				
TICKER	QDEL				
*Prior trading day's closing price unless otherwise noted.					
FY (Dec)		CHANGE TO JEF _e		JEF vs CONS	
	2026	2027	2026	2027	
REV	-6%	-6%	-5%	-6%	
EPS	-55%	-39%	-56%	-38%	
2026 (\$)	Q1A	Q2A	Q3	Q4	FY
EPS	(0.04)	↑0.13	↓0.24	↓0.48	↓0.81
PREV		(0.05)	0.87	1.02	1.81

QuidelOrtho Corporation											
Historical and Projected Consolidated Balance Sheets											
(Values in millions, except per share amounts)											
Historical						Projections					
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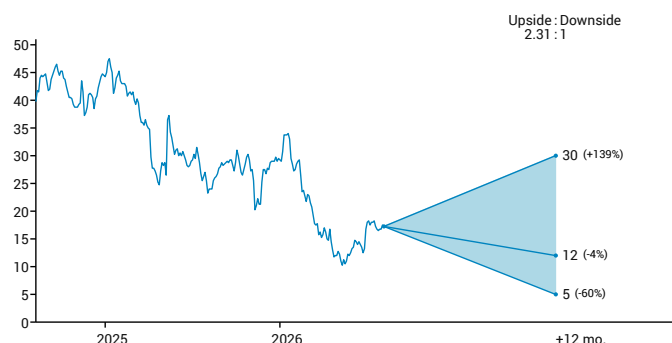
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The Long View: QuidelOrtho

Investment Thesis

Despite clear progress from management team (i.e. >\$150M in cost-outs, >200bps OMX since '24), early innings of turnaround are over and path to mid-20s EBITDA and 50% FCF conversion looks increasingly difficult given backdrop of multiple FCF misses, China reimbursement changes and a declining respiratory business. Key risks remain, such as POC growth, turnover on reagent rental instruments, and integration of newly acquired LEX business. At ~6x '26 EBITDA, stock is admittedly cheap and could offer positive skew, especially headwinds clear; however, we are cautious given lack of visibility on '26 and outyear numbers.

Risk/Reward - 12 Month View



Base Case, \$12, -4%

- FY26: 6% revenue decline / \$553 EBITDA / \$0.81 EPS
- FY27: +1.5% revenue growth / \$576 EBITDA / \$1.48 EPS
- Positive FCF in '27
- China NHSA impact in '27
- PT of \$12, derived from 10Y DCF; ~6x '27 EBITDA

Upside Scenario, \$30, +139%

- FY26: -LSD revenue growth / >\$600M EBITDA
- Strong 2H respiratory, ME conflict resolution, China policy favorable
- Positive FCF in '26
- PT of \$30, derived from 10Y DCF; ~8x '27 EBITDA

Downside Scenario, \$5, -60%

- FY26: HSD% revenue decline
- <20% EBITDA margin in '26
- China and ME headwinds persist into 2H; NHSA '27 impact bigger than expected
- Negative FCF in '27
- PT of \$5, derived from 10Y DCF = ~5x '27 EBITDA

Sustainability Matters

Top Material Issue(s): **1) Energy Efficiency, Recycling, and Water Management:** QDEL plans to implement energy-efficient systems, infrastructure improvements that conserve water, and eco-friendly alternatives that support waste reduction **2) Renewable Energy:** Another focus is expanding its renewable energy usage and reducing its current consumption of nonrenewables (528k GJ in '23).

Company Target(s): **1)** At its Raritan site, QuidelOrtho is targeting an 80% reduction in total HVAC units containing R22 refrigerant, **2)** QuidelOrtho is also targeting a 2% reduction in water usage through its Raritan facility infrastructure.

Qs to Mgmt: **1)** Given the focus on longer term (2050) targets from some of your peers, what can you flag as actionable items over the next several decades? **2)** How does QDEL foster a diverse and inclusive team and how do you plan to continue to do so?

Catalysts

- Further cost-out announcements
- LEX integration and instrument placements
- New product launches
- China reimbursement policy
- Consecutive quarters of positive and increasing FCF conversion

QuidelOrtho Corporation
Historical and Projected Statements of Income
Dollars in millions, except per share amounts

	Historical results					Projections					Projections				
	2025					2026					2027				
	Mar-25	Jun-25	Sep-25	Dec-25	Total	Mar-26	Jun-26	Sep-26	Dec-26	Total	Mar-27	Jun-27	Sep-27	Dec-27	Total
Net sales	\$693	\$614	\$700	\$724	\$2,730	\$620	\$631	\$635	\$675	\$2,561	\$629	\$639	\$647	\$683	\$2,598
Cost of products sold	\$350	\$339	\$364	\$403	\$1,456	\$356	\$358	\$356	\$376	\$1,446	\$355	\$356	\$356	\$374	\$1,441
Gross profit	\$343	\$275	\$336	\$320	\$1,274	\$264	\$273	\$279	\$299	\$1,115	\$274	\$283	\$291	\$309	\$1,157
Selling, marketing and administrative	\$180	\$170	\$176	\$158	\$683	\$185	\$174	\$156	\$149	\$663	\$175	\$163	\$152	\$143	\$634
R&D expenses	\$53	\$45	\$41	\$44	\$183	\$43	\$45	\$44	\$47	\$179	\$44	\$45	\$45	\$48	\$182
Adj. EBITDA	\$160	\$107	\$177	\$155	\$599	\$109	\$129	\$146	\$169	\$553	\$112	\$133	\$153	\$177	\$576
Depreciation	\$54	\$56	\$58	\$62	\$230	\$63	\$62	\$66	\$66	\$258	\$57	\$58	\$59	\$60	\$234
Adj. operating income (EBITA)	\$107	\$60	\$125	\$88	\$380	\$44	\$72	\$79	\$103	\$298	\$55	\$75	\$94	\$118	\$341
Interest expense, net	\$40	\$41	\$46	\$51	\$178	\$51	\$55	\$56	\$58	\$219	\$52	\$52	\$51	\$51	\$205
Other expense, net	\$1	\$8	\$6	(\$5)	\$11	(\$3)	\$5	\$2	\$2	\$5	\$0	\$0	\$0	\$0	\$0
Income before taxes	\$66	\$11	\$73	\$41	\$191	(\$3)	\$12	\$21	\$43	\$74	\$3	\$23	\$43	\$67	\$136
Income tax	\$16	\$2	\$19	\$10	\$47	(\$1)	\$3	\$5	\$18	\$18	\$1	\$6	\$11	\$17	\$34
Adj. net income	\$50	\$8	\$55	\$31	\$144	(\$2)	\$9	\$16	\$33	\$56	\$2	\$17	\$32	\$50	\$102
Basic average shares	67.5	67.7	68.0	68.0	68.0	68.2	68.3	68.4	68.5	68.5	68.6	68.8	68.9	69.0	69.0
Diluted average shares	67.5	67.7	68.0	68.0	68.0	68.2	68.3	68.4	68.5	68.5	68.6	68.8	68.9	69.0	69.0
Basic E.P.S.	\$0.74	\$0.12	\$0.80	\$0.46	\$2.12	(\$0.04)	\$0.13	\$0.24	\$0.48	\$0.81	\$0.03	\$0.25	\$0.47	\$0.73	\$1.48
Diluted E.P.S.	\$0.74	\$0.12	\$0.80	\$0.46	\$2.12	(\$0.04)	\$0.13	\$0.24	\$0.48	\$0.81	\$0.03	\$0.25	\$0.47	\$0.73	\$1.48
Margin Analysis															
Gross margin	49.6%	44.8%	47.9%	44.3%	46.7%	42.6%	43.3%	44.0%	44.3%	43.5%	43.6%	44.3%	45.0%	45.3%	44.5%
Selling, marketing and administrative	26.0%	27.7%	25.1%	21.8%	25.0%	29.8%	27.6%	24.5%	22.0%	25.9%	27.8%	25.6%	23.5%	21.0%	24.4%
R&D expenses	7.6%	7.4%	5.8%	6.0%	6.7%	6.9%	7.1%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%
EBITDA margin	23.1%	17.5%	25.3%	21.4%	21.9%	17.5%	20.5%	22.9%	25.1%	21.6%	17.8%	20.8%	23.6%	26.0%	22.2%
Income before taxes	9.5%	1.8%	10.5%	5.7%	7.0%	(0.5%)	1.9%	3.4%	6.4%	2.9%	0.5%	3.6%	6.6%	9.8%	5.2%
Income tax	23.8%	22.2%	25.3%	24.9%	24.5%	25.0%	24.6%	25.0%	25.0%	24.9%	25.0%	25.0%	25.0%	25.0%	25.0%
Net margin	7.2%	1.4%	7.8%	4.3%	5.3%	(0.4%)	1.5%	2.5%	4.8%	2.2%	0.3%	2.7%	5.0%	7.4%	3.9%
Growth Analysis															
Net sales	(2.6%)	(3.6%)	(3.7%)	2.2%	(1.9%)	(10.5%)	2.8%	(9.3%)	(6.7%)	(6.2%)	1.5%	1.3%	2.0%	1.2%	1.5%
Cost of products sold	(7.8%)	(6.1%)	(2.8%)	5.6%	(2.7%)	1.9%	5.6%	(2.4%)	(6.7%)	(0.7%)	(0.3%)	(0.5%)	0.1%	(0.6%)	(0.3%)
Gross profit	3.4%	(0.4%)	(4.7%)	(1.7%)	(1.0%)	(23.2%)	(0.7%)	(16.8%)	(6.8%)	(12.5%)	3.9%	3.6%	4.3%	3.5%	3.8%
Selling, marketing and administrative	(7.7%)	(4.9%)	(0.7%)	(11.5%)	(6.2%)	2.6%	2.3%	(11.4%)	(5.8%)	(3.0%)	(5.3%)	(6.1%)	(2.2%)	(3.4%)	(4.4%)
R&D expenses	(9.9%)	(18.7%)	(25.9%)	(6.2%)	(15.5%)	(19.2%)	(0.4%)	8.7%	8.1%	(1.8%)	3.4%	(0.6%)	2.0%	1.2%	1.5%
Adj. EBITDA	21.1%	19.4%	3.7%	2.9%	10.3%	(32.0%)	20.5%	(17.8%)	9.4%	(7.7%)	3.1%	3.0%	5.1%	4.9%	4.2%
Adj. operating income (EBITA)	34.5%	52.3%	5.3%	(9.9%)	13.3%	(58.5%)	19.9%	(36.7%)	17.6%	(21.4%)	23.6%	4.4%	18.3%	14.5%	14.4%
Adj. net income	68.5%	(275.0%)	(4.7%)	(27.0%)	15.5%	(104.8%)	9.5%	(70.6%)	4.9%	(61.5%)	(189.1%)	88.5%	99.7%	54.2%	83.6%
Diluted E.P.S.	67.0%	(273.4%)	(5.7%)	(27.7%)	14.3%	(104.7%)	8.6%	(70.7%)	4.1%	(61.8%)	(188.6%)	87.3%	98.3%	53.1%	82.3%

Source: QuidelOrtho Corporation and Jefferies LLC estimates.

QuidelOrtho Corporation
Historical and Projected Consolidated Balance Sheets
Dollars in millions, except per share amounts

	Historical results					Projections					Projections				
	2025					2026					2027				
	Mar-25	Jun-25	Sep-25	Dec-25	Total	Mar-26	Jun-26	Sep-26	Dec-26	Total	Mar-27	Jun-27	Sep-27	Dec-27	Total
ASSETS															
Current Assets															
Cash and equivalents	\$127	\$152	\$98	\$170	\$170	\$140	\$123	\$108	\$123	\$123	\$120	\$82	\$110	\$130	\$130
Marketable securities	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Accounts receivable, net	\$286	\$275	\$387	\$417	\$417	\$360	\$352	\$393	\$386	\$386	\$387	\$388	\$390	\$392	\$392
Inventory, net	\$563	\$579	\$614	\$578	\$578	\$612	\$619	\$585	\$555	\$555	\$574	\$573	\$573	\$573	\$573
Prepaid expenses and other current assets	<u>\$282</u>	<u>\$276</u>	<u>\$268</u>	<u>\$283</u>	<u>\$283</u>	<u>\$265</u>	<u>\$282</u>	<u>\$283</u>	<u>\$278</u>	<u>\$278</u>	<u>\$281</u>	<u>\$282</u>	<u>\$284</u>	<u>\$284</u>	<u>\$284</u>
Total current assets	\$1,258	\$1,282	\$1,367	\$1,447	\$1,447	\$1,377	\$1,377	\$1,370	\$1,341	\$1,341	\$1,362	\$1,326	\$1,357	\$1,379	\$1,379
Plant, property, and equipment, net															
Plant, property, and equipment, net	\$1,399	\$1,315	\$1,323	\$1,358	\$1,358	\$1,339	\$1,339	\$1,370	\$1,402	\$1,402	\$1,417	\$1,431	\$1,444	\$1,456	\$1,456
Marketable securities	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Right-of-use assets	\$165	\$157	\$157	\$156	\$156	\$158	\$156	\$156	\$156	\$156	\$156	\$156	\$156	\$156	\$156
Goodwill	\$671	\$711	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Intangible assets, net	\$2,698	\$2,661	\$2,608	\$2,564	\$2,564	\$2,520	\$2,678	\$2,626	\$2,570	\$2,570	\$2,515	\$2,462	\$2,409	\$2,358	\$2,358
Deferred tax asset	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Other assets	<u>\$270</u>	<u>\$254</u>	<u>\$220</u>	<u>\$244</u>	<u>\$244</u>	<u>\$234</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>	<u>\$166</u>
Total long-term assets	\$5,203	\$5,098	\$4,308	\$4,322	\$4,322	\$4,252	\$4,339	\$4,318	\$4,294	\$4,294	\$4,254	\$4,214	\$4,175	\$4,136	\$4,136
Total assets	\$6,462	\$6,379	\$5,675	\$5,769	\$5,769	\$5,629	\$5,715	\$5,687	\$5,635	\$5,635	\$5,616	\$5,540	\$5,532	\$5,515	\$5,515
LIABILITIES AND SHAREHOLDERS' EQUITY															
Current Liabilities															
Accounts payable	\$231	\$219	\$214	\$279	\$279	\$244	\$237	\$247	\$242	\$242	\$277	\$277	\$277	\$276	\$276
Accrued payroll and related expenses	\$135	\$85	\$104	\$120	\$120	\$135	\$77	\$110	\$108	\$108	\$114	\$115	\$115	\$116	\$116
Income tax payable	\$6	\$26	\$1	\$12	\$12	\$13	\$14	\$14	\$14	\$14	\$14	\$14	\$14	\$14	\$14
Current portion of borrowings	\$394	\$534	\$163	\$178	\$178	\$228	\$356	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Other current liabilities	<u>\$281</u>	<u>\$278</u>	<u>\$287</u>	<u>\$377</u>	<u>\$377</u>	<u>\$343</u>	<u>\$310</u>	<u>\$338</u>	<u>\$331</u>	<u>\$331</u>	<u>\$355</u>	<u>\$356</u>	<u>\$358</u>	<u>\$359</u>	<u>\$359</u>
Total current liabilities	\$1,047	\$1,142	\$768	\$966	\$966	\$962	\$993	\$708	\$695	\$695	\$761	\$762	\$764	\$765	\$765
Operating lease liabilities															
Operating lease liabilities	\$163	\$156	\$156	\$154	\$154	\$155	\$153	\$153	\$153	\$153	\$153	\$153	\$153	\$153	\$153
Long-term borrowings	\$2,106	\$2,072	\$2,497	\$2,472	\$2,472	\$2,460	\$2,535	\$2,820	\$2,794	\$2,794	\$2,753	\$2,702	\$2,702	\$2,675	\$2,675
Deferred tax liability	\$78	\$83	\$80	\$90	\$90	\$87	\$122	\$122	\$122	\$122	\$122	\$122	\$122	\$122	\$122
Other liabilities	<u>\$70</u>	<u>\$133</u>	<u>\$139</u>	<u>\$166</u>	<u>\$166</u>	<u>\$112</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>	<u>\$137</u>
Total long-term liabilities	\$2,417	\$2,444	\$2,871	\$2,883	\$2,883	\$2,815	\$2,947	\$3,232	\$3,206	\$3,206	\$3,165	\$3,114	\$3,114	\$3,086	\$3,086
Total liabilities	\$3,464	\$3,586	\$3,639	\$3,849	\$3,849	\$3,777	\$3,940	\$3,940	\$3,901	\$3,901	\$3,926	\$3,876	\$3,878	\$3,851	\$3,851
Common Stock															
Common Stock	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Capital in excess of par value	\$2,898	\$2,909	\$2,921	\$2,932	\$2,932	\$2,955	\$2,955	\$2,964	\$2,973	\$2,973	\$2,983	\$2,992	\$3,002	\$3,012	\$3,012
Accumulated other comprehensive loss	<u>(\$24)</u>	<u>\$16</u>	<u>(\$20)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>	<u>(\$15)</u>
Retained earnings	<u>\$123</u>	<u>(\$132)</u>	<u>(\$865)</u>	<u>(\$996)</u>	<u>(\$996)</u>	<u>(\$1,088)</u>	<u>(\$1,164)</u>	<u>(\$1,201)</u>	<u>(\$1,224)</u>	<u>(\$1,224)</u>	<u>(\$1,276)</u>	<u>(\$1,313)</u>	<u>(\$1,333)</u>	<u>(\$1,334)</u>	<u>(\$1,334)</u>
Total stockholders' equity	\$2,997	\$2,793	\$2,036	\$1,921	\$1,921	\$1,851	\$1,775	\$1,748	\$1,734	\$1,734	\$1,691	\$1,664	\$1,654	\$1,663	\$1,663
Noncontrolling interests	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Total stockholders' equity	\$2,997	\$2,793	\$2,036	\$1,921	\$1,921	\$1,851	\$1,775	\$1,748	\$1,734	\$1,734	\$1,691	\$1,664	\$1,654	\$1,663	\$1,663
Total liabilities and shareholders' equity	\$6,462	\$6,379	\$5,675	\$5,769	\$5,769	\$5,629	\$5,715	\$5,687	\$5,635	\$5,635	\$5,616	\$5,540	\$5,532	\$5,515	\$5,515

Source: QuidelOrtho Corporation and Jefferies LLC estimates.

Company Description

QuidelOrtho

QuidelOrtho utilizes its expertise in immunoassay and molecular testing, clinical chemistry, and transfusion medicine to create better health outcomes. The Company specializes in clinical chemistry laboratory instruments and tests, which measure target chemicals in bodily fluids for the evaluation of health and the clinical management of patients.

Company Valuation/Risks

QuidelOrtho

Our \$12 PT is derived from 10Y DCF; ~6x '27 EBITDA. Downside risks: 1) delayed FCF generation and failure to de-lever balance sheet; 2) China reimbursement policy; 3) further deterioration in respiratory business; 4) integration challenges with LEX

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(Article 3(1)e and Article 7 of MAR)

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Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

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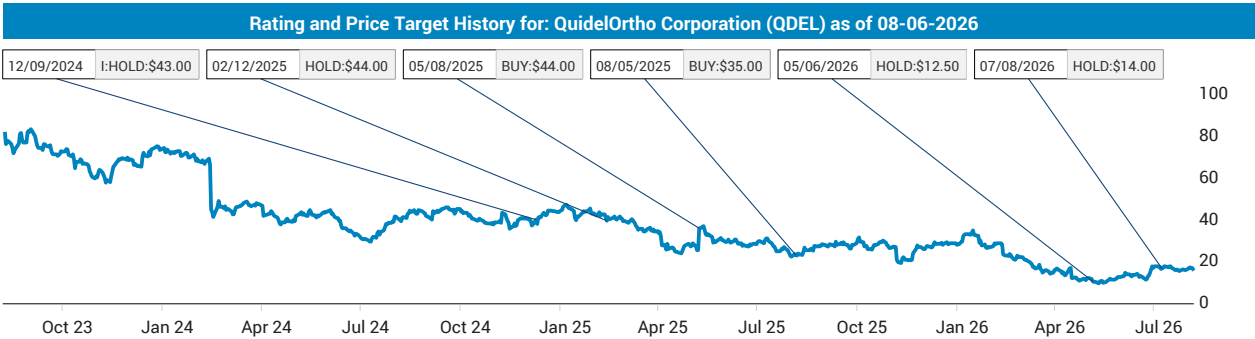
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Other Companies Mentioned in This Report

• QuidelOrtho Corporation (QDEL: \$12.55, HOLD)



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Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2227	62.35%	391	17.56%	116	5.21%
HOLD	1187	33.23%	92	7.75%	14	1.18%
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